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AC444 – Group S3G1

Equity Report

Picture Source: Company Website

Challenges faced in project

Industry	Challenging industry, very difficult to deeply understand products and development timeline
Adjustments	Difficult to find adjustments, and to judge what is feasible to adjust and what not – different presentation of financial statements made comparison difficult
Presentation Time	Short presentation time, difficult to limit the content presented and still mentioning all the important aspects
ESG Strategy	Difficult to estimate the quantitative impact ESG strategy has, as industry itself is primarily focused on social concerns
Operating Cash	No real evidence on how to determine operating cash, hence a simplified assumption has been used for all companies

Agenda

1 Business Strategy Analysis & ESG

2 Accounting Analysis

3 Financial Analysis

4 Prospective Analysis

5 Valuation & Recommendation

6 Appendix

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Chapter 1

Business Strategy Analysis & ESG

Picture Source: Company Website

Sanofi & Pharma Industry: Navigating Trends, Maximizing Impact

Sanofi at a glance

Deep Dive following

Headquarter

Founded

1973

Sanofi's strategy

- Affordable Access to Healthcare
- R&D for Unmet Needs
- Planet care
- Inclusion

Segments

- ***General Medicines***
- ***Vaccines***
- ***Specialty Care***
- ***Consumer Healthcare***

Operational Highlights

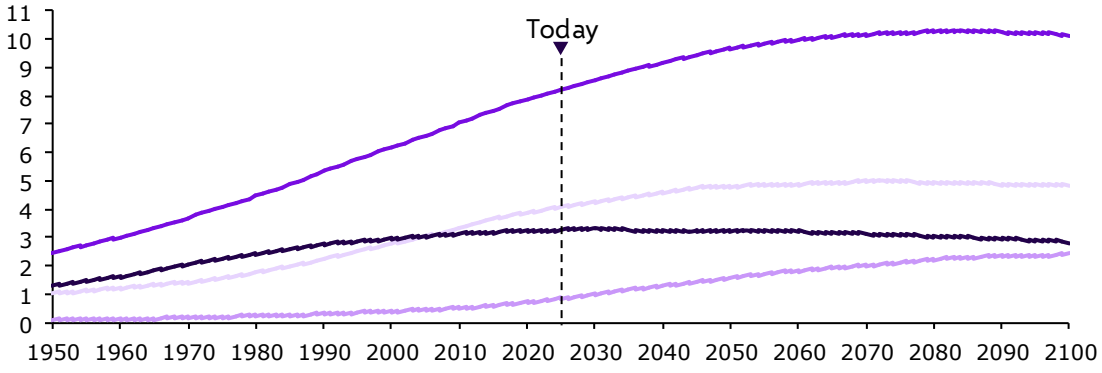
- ***>80,000*** *FTEs*
- ***4.8 bn*** *Products produced annually*
- ***+170*** *Countries served*
- ***41,081 €mn*** *Sales in 2024*
- ***83 New Medications*** *under development*

Industry trends

1. **Aging population** & unmet medical needs driving healthcare demand
2. **Growing middle class in emerging markets** seeking better healthcare due to more access to information.
3. **Geopolitical risks, inflation & supply shortages** pressuring healthcare costs & the value chain
4. **Rising global healthcare costs** put focus on access & cost-effective innovation
5. **Innovation in R&D & manufacturing** becoming more critical as a result of increased health needs

Global Population by Age Group (in bn.)

Additional data charts in Appendix



Sources: Annual Reports, UN, World Population Prospects (2024) – processed by Our World in Data

Sanofi's core strategy focusses on four pillars driving its success since its deployment in 2019

Identified Risks ● *Strategic timeline:* *Long term* *Short term*

Sanofi's "Play to Win Strategy" (Updated Oct, 2023)

1 Growth

- **Dupixent sales growth** driven by targeted mechanism & strong safety profile.
- **Vaccine portfolio expansion** in Influenza, Meningitis, Polio, PPH & RSV.
- **Pipeline investment** focused on immunology, rare diseases, neurology & vaccines

2 Innovation

Deep Dive following

- **Strength of pipeline:** Inventing market-leading products with high innovation grade
- ● **M&A and Collaboration:** Continue M&A and collaboration as key ingredient of innovation

3 Efficiency

- ● **Strategic Cost initiatives:** Efficiency measures in Biopharma to free resources for R&D and value creation
- **Target Discovery Engines:** R&D acceleration to develop novel drugs within 1 year

4 Reinvent Operations

- ● **Invest in AI- powered solutions:** Computational tools for a digital healthcare platform
  - **AI- driven transformation:** Enhancing drug discovery, clinical trials, and manufacturing as well as diving backoffice functions

Past achievements

- 13 consecutive quarters of growth
- Dupixent® scaling to €11B in annualized Q3 2023 sales
- Vaccines business achieving mid-to-high single-digit growth since 2018

- Launched six new molecular entities in two years, including Xenpozyme®, Nexviazyme®, and TZIELD®
- Advancing a strong immunology and neuro-inflammation pipeline, with seven assets in late-stage development, each projected at €2-€5B peak sales
- Over 25 M&A deals to strengthen the pipeline

- Executing *€2.7B cost savings* to reinvest in growth and distribute to shareholders, continuing the streak of ever-growing dividends

2025 Outlook

+€2 bn	+50%	Divestments	€5 bn
Cost savings	Increase in PH3 studies	In CHC (Opella)	Share buy back

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Sources: Annual reports, Company Website

Sanofi strategically engages in Pharma industry M&A activities

Divestment ● *Acquisition* ● *Identified Risks* ○

2021

June — **CHC Brands**
Divestment of 16 regional CHC brands to Stada, a German pharmaceutical company. Aimed to streamline Sanofi's CHC portfolio

February — **Annuix**
Acquisition resulting in Sanofi gaining access to ProXTen technology & a pipeline of immunotherapies

2022

March — **Provention Bio Inc**
Acquisition of US-based publicly-traded biopharmaceutical company developing therapies to intercept & prevent immune-mediated diseases

May — **EUROAPI**
Sanofi spun off its API business into a new entity named EUROAPI, which was listed on the Euronext Paris stock exchange

2023

April — **Tzield**
Sanofi announced completion of its acquisition of Tzield (therapy for type 1 diabetes)

May — **Inhibrx**
Acquisition of clinical-stage biopharmaceutical company specializing in oncology and orphan diseases

July — **Qunol**
Acquisition of US-based health & wellness brand which strengthened Sanofi's position in the Vitamin, Mineral, and Supplements (VMS)

2024

October — **Opella**
Agreed upon 50% divestment in Opella a former Consumer healthcare segment of Sanofi to be sold to CD&R an American private equity company

November — **Enjayno**
Definitive agreement to sell its global rights of Enjaymo (biologic treatment) to Recordati (Italian pharmaceutical company) in order to maintain its focus on core biopharmaceuticals

Strategic Repositioning

€16 bn
Opella Valuation

As a part of strategic repositioning the Deal is aimed to **refocus Sanofi's efforts to become more focused on biopharma and specialties** delivering innovative medicines and vaccines to patients

In **Q4 2024** Opella meets criteria for **discontinued operations under IFRS 5**, hence Net Income for this business was presented separately in the line item 'net income from discontinued operations'

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Sources: Annual Report, Company Website, Pharmaceutical Technology, Yahoo Finance

Identified Risks So Far – Expanding to Industry Challenges in Tandem

Risk classification: *High* *Medium* *Low*

Strategic Risk[1,2]

Failure To Identify Business Opportunities

- Ability to identify targets and partnerships.
- Third party dependencies in value chain.

Opella Separation Risk

- Conditions for completion may not be met.
- Unintended negative business impact.

Operational Transformation Risk

- Employee resistance for change.

Globalization Challenges

- Emerging market risks: economic volatility, currency fluctuations, and regulatory hurdles.
- Long-term epidemics may disrupt operations.
- Regulatory differences (EU vs. US) limit collaborations.
- China (6.5% of 2024 net sales) is a major but risky market.

Digitalization & AI

- Dependency on data access, quality & evolvement of AI.
- Competition from tech firms with advanced capabilities.

Industry Risk

Threat of substitutes

- **Revenue and market share erosion from generics** already affecting flagship products (e.g., Lantus, Plavix, Aubagio)
- Availability of **alternative treatments** (e.g., novel therapeutics, emerging biotechnologies, non-pharma interventions)
- **Economic pressures** (e.g., inflation, cost-cutting in healthcare systems) pushing demand toward cheaper substitutes
- Government policies favouring **low-cost** generics or alternatives

BP[3] of suppliers

- Sanofi's in-house production of active ingredients and main drug products **reduces supplier dependency** and enhances cost control.
- Reliance on third-party suppliers for **specific ingredients** adds supply risk

Degree of Rivalry

- **Fierce R&D race** for new drugs and **strong competition** even among patented medicines.
- **Generics & biosimilars erode market** share post-patent expiry.
- **Parallel trade** in EU countries. Additional price pressures.

BP[3] of buyers

- **Limited buyer influence** when product is unique or protected by IP
- **Availability of alternatives** (e.g., generics or competing products)
- Large-scale purchasers exert pricing pressure

Threat of new entrants

- **High barriers to entry** due to strict regulation, IP protection, and high R&D costs
- The introduction of **generic drugs and biosimilar** manufacturers leads to a rapid and significant decline in revenues. Similarly for emerging tech-driven pharma.
- **New biotech firms** (e.g., mRNA) challenge traditional players.
- Capital intensity and long development timelines deter small entrants.

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1. ESG Risks as part of the strategy to be examined separately | 2. Only highest strategic risk considered | 3. Bargaining Power

Sources: Own Analysis, Company Website, Annual Report

Sanofi is driving ESG through 4 Pillars while navigating rising risk pressures

Identified Risks ● *Risk type: Physical [1]* P *Transitional [2]* T

ESG Strategy pillars

1 Access to Healthcare

>2 mn *People to be provided with care for NCDs by 2030*

2 R&D for Unmet Needs

Elimination *of sleeping sickness as public health problem by 2030*

Target Polio & Pediatric *cancer treatment disparities*

3 A Healthy Planet

-50% *Scope 1 & 2 by 2030*
-30% *Scope 3 by 2030*
100% *Renew. electricity by 2025*
100% *Ecodesign all new products by 2025*

4 Inclusion

50% *Women in senior leadership by 2025*

100% *fully accessible workplace by 2025*

ESG Risk

Regulatory and Stakeholder pressure
- Fast evolving global ESG regulations and investor scrutiny
- Complex compliance due to diverse ESG frameworks

Supply chain and Climate Risk
- Production sites and suppliers exposed to extreme weather
- Rising carbon taxes and disruptions increase cost

Medical Access
- High sustainability costs limit healthcare access in low-income regions
- Partnerships may affect equitable drug distribution

ESG Investments
- Balancing affordability with profitability is challenging
- Pricing transparency issues, especially in the U.S.

Social Equity in Pricing
- High CAPEX for net-zero goals and sustainability
- Short-term financial returns may fall short, raising investor concern

Stakeholder pressure T
Expectation of high ESG performance
→ ***Higher financing cost***

Natural Disaster P
Increased frequency of extreme weather events could damage facilities
→ ***Sales decrease***

Raw Material P T
Climate hazards and regulations may cause supply shortages (esp. chemical and plastics)
→ ***Higher Procurement cost***

Carbon Cost T
Carbon pricing policies are spreading with the risk of increased procurement cost
→ ***Higher OPEX***

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1. Physical risks equals risks arising due to Natural sources (i.e. natural disasters) | 2. Transitional risks equal financial and/or regulatory risk
Sources: Own Analysis, Company Website, Sanofi ESG Report 2024

Sanofi vs Peers: Differentiated by R&D Investment and Commercial Strategy

Competitor Overview

Immunology | Infectious Diseases | Oncology | Rare Diseases

Company	FTE	Revenue 2024, in €bn	Market Cap 2025, in €bn	EBITDA margin 2024, in %	O&M Footprint[1] Europe	NA	LA	Asia	Africa	Product Offering
gsk	68,669	38	73	18%	✓	✓		✓		
BIONTECH	6,946	3	21	-44%	✓	✓		✓	✓	
AstraZeneca	94,300	52	221	19%	✓	✓		✓		
NOVARTIS	75,883	50	198	18%	✓	✓		✓		
sanofi	82,878	44	127	24%	✓	✓	✓	✓		

Competitive Advantage

Cost Leadership → Differentiation

- **Sanofi focuses on differentiation** by modernizing commercial delivery (e.g. use of AI/ Customer engagement models) and reinvesting savings into R&D to boost innovation

Comparable Competitor

NOVARTIS | gsk | AstraZeneca

- **Comparable market capitalization** to Sanofi
- **Product focus** aligns with Sanofi's portfolio
- **European headquarters and significant international presence** aligns with Sanofi's footprint

1. Operational and Manufacturing
Sources: Capital-IQ, Annual report, Company websites

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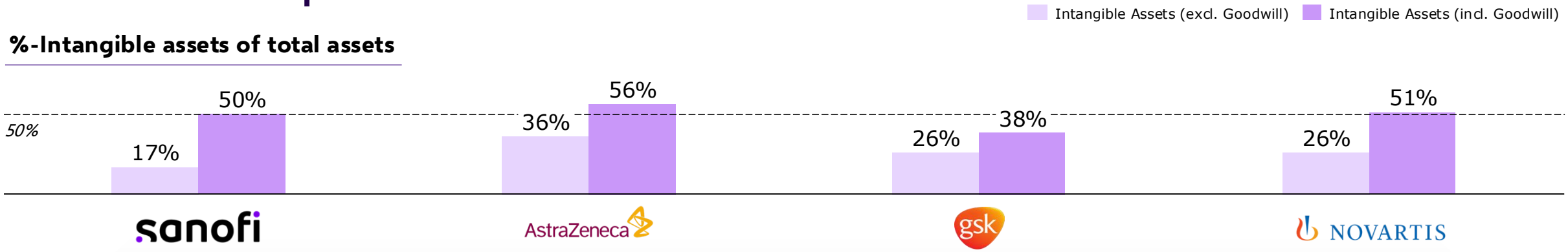
Chapter 2

Accounting Analysis

Picture Source: Politico

Considered Adjustments – Significant Intangible Assets for all companies considered



Intangible assets were a **key focus for potential adjustments** due to their **material impact on financial statements**, as they represent a **significant portion of the companies' total assets**, are subject to impairment risks, and can vary based on accounting policies.

Resulting adjustment focus

Detailed comparison and treatment overview in Valuation Model

Considered Areas	Adjustment?	Justification	Adjustment
1 Amortisation rate of intangible assets other than goodwill	☐	Sanofi's amortisation rate has been stable over time and is in line with peers	-
2 Impairment of intangible assets other than goodwill	☑	Material impact on income statements and substantial variance across time	**Reclassification**
3 Rate of additions to intangible assets	☐	Different development schedules leading to different capitalization timings	-
4 Accruals and Receivables Sanofi	☐	Significant changes explainable by business requirements at the time	-

Sources: Annual Reports selected companies

Reclassification of Impairment Charges to correctly reflect as non-recurring expenses

Detailed calculation in Valuation Model

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Impairment included in

Spot Exchange Rate €/€	1	1	1	1	1	1	1	1
Impairment of Intangible Assets	-293,00	-718,00	-3.604,00	-330,00	-192,00	429,00	-896,00	-248,00

separate line item

Classified as non-recurring expense[1]

AstraZeneca

Impairment included in

Spot exchange rate ($)	0.83	0.87	0.89	0.82	0.88	0.94	0.90	0.97
Net impairment charges - reclassifaction to non-recurring								
Research and development expenses	101.00	539.00	609.00	55.00	1,464.00	95.00	417.00	1,065.00
Selling, general and administrative expense	390.00	144.00	427.00	185.00	621.00	129.00	17.00	509.00
Other operating income and expense			-3.00					

R&D **SG&A** **Other income/ expenses**

Reclassification from OPEX to non-recurring expenses[1]

Basis for Analysis

gsk

Impairment included in

Spot exchange rate (£)	1,13	1,11	1,18	1,12	1,19	1,13	1,15	1,21
Net impairment charges - reclassifaction to non-recurring								
Cost of sales	400,00	69,00	34,00	21,00		2,00		
Selling, general and administration	2,00	19,00	43,00	17,00	65,00	66,00	18,00	6,00
Research and development	278,00	46,00	49,00	219,00	373,00	299,00	399,00	311,00

COGS **R&D** **Other income/ expenses**

Reclassification from OPEX to non-recurring expenses[1]

NOVARTIS

Impairment included in

Spot exchange rate ($)	0,83	0,87	0,89	0,82	0,88	0,94	0,90	0,97
Net impairment charges								
Cost of goods sold	92,00	488,00	85,00	377,00	360,00	314,00	310,00	-9,00
Research and development	594,00	167,00	1.078,00	523,00		953,00	2.737,00	500,00
Other income							-10,00	
Other expense						398,00	51,00	

COGS **R&D** **Other income/ expenses**

Reclassification from OPEX to non-recurring expenses[1)]

1. Only affect the classification in the Income Statements
Sources: Own calculations based on annual reports published by mentioned companies

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Chapter 3

Financial Analysis

Picture Source: Company Website

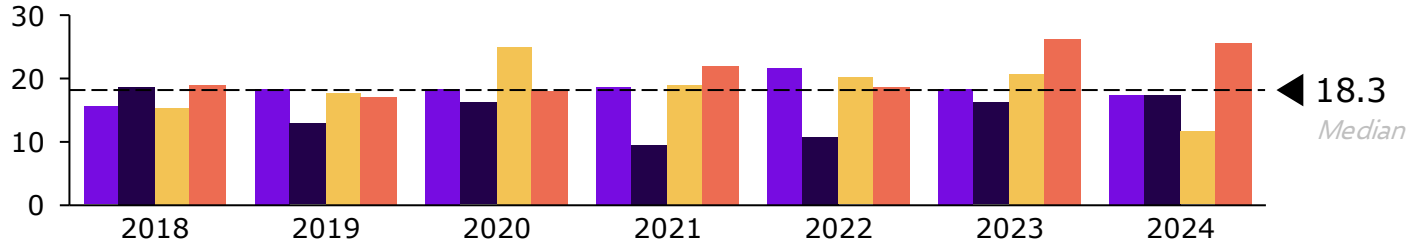
Ratio Analysis (1/3) – Profitability

Additional ratios in Valuation Model

Selected Ratios, 2018 to 2024

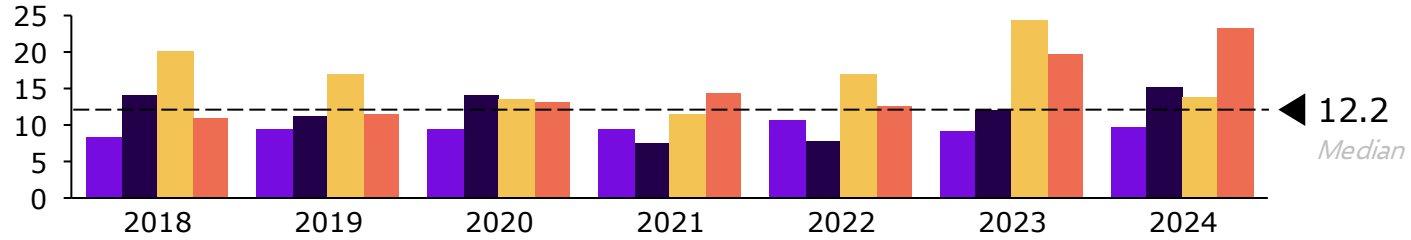
Sanofi AstraZeneca GSK Novartis

NOPAT margin, in %



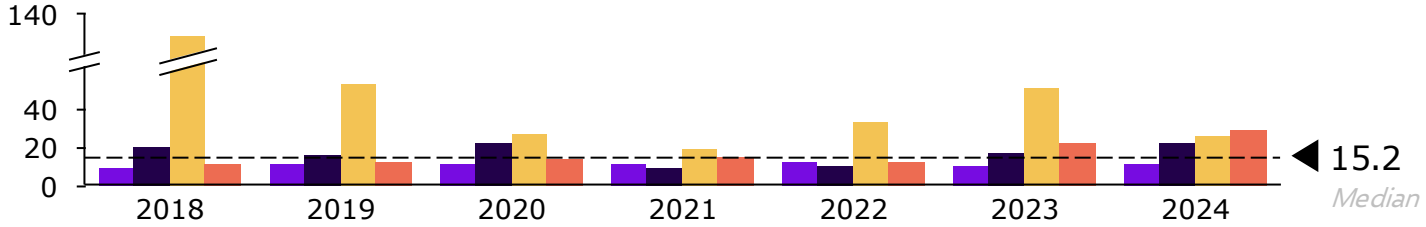
Sanofi's NOPAT margin **indicates a profitability improvement over time, outperforming** Astra Zeneca and GSK **in most years**

Return on Net Operating Assets (RNOA), in %



Sanofi's RNOA **is consistently below industry median suggesting less efficiency** in utilizing operating assets

Return on Equity (ROE) in %



Sanofi's **ROE remains consistently below the industry median**, primarily **due to lower financial leverage** /
Time series annotation: In 2018, GSK significantly increased its financial leverage

Source: Own calculations

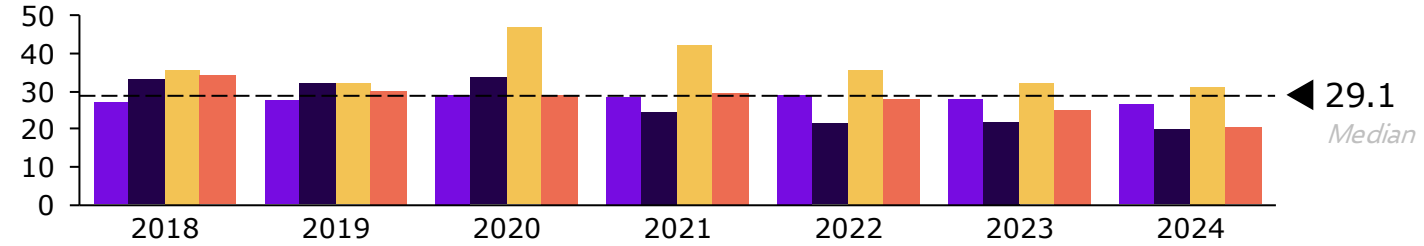
Ratio Analysis (2/3) – Efficiency of Utilising Resources

Additional ratios in Valuation Model

Selected Ratios, 2018 to 2024

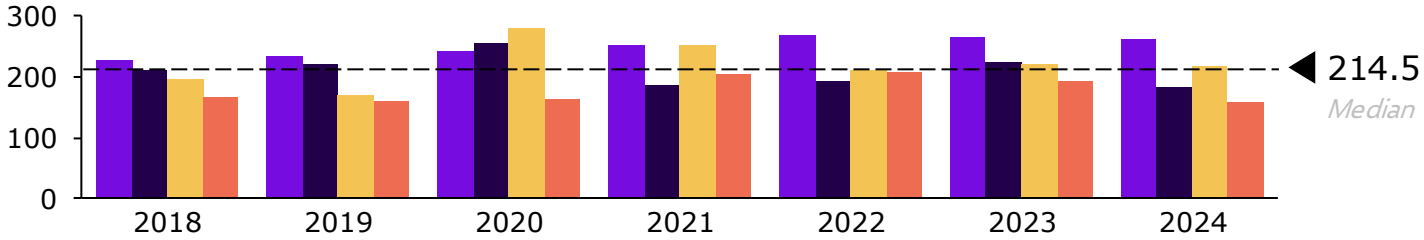
Sanofi AstraZeneca GSK Novartis

PPE Turnover, in %



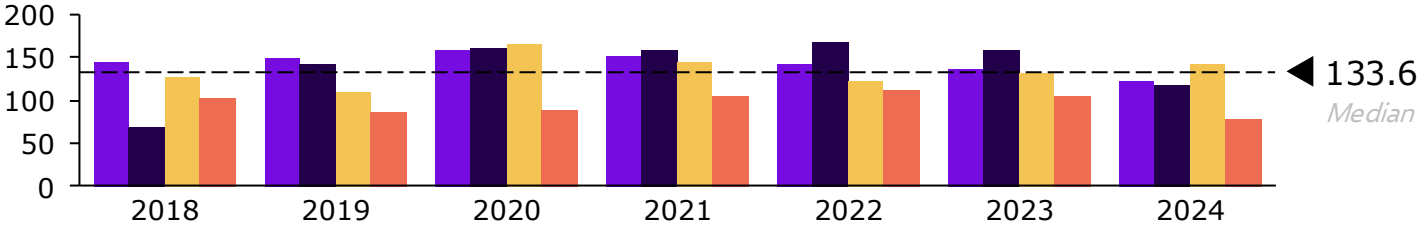
Sanofi's levels of PPE turnover **consistently exceeding its industry peers suggest more efficient asset utilization** and more productive manufacturing strategy

Days' Inventory, in # days



Sanofi **holds inventory for longer than its peers, which may be a strategy to ensure supply security**. Its vaccine division requires strict storage rules and can lead to longer production cycles

Cash Conversion Cycle, in # days



Due to long Days' Inventory, Sanofi's cash conversion cycle is longer than its industry peers'. This may be due to its high inventory requirements, however, it could potentially harm Sanofi's liquidity

Source: Own calculations

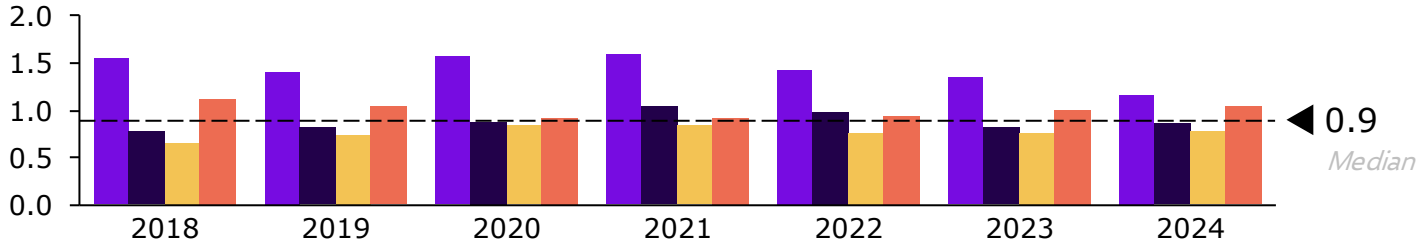
Ratio Analysis (3/3) – Liquidity and Solvency

Additional ratios in Valuation Model

Selected Ratios, 2018 to 2024

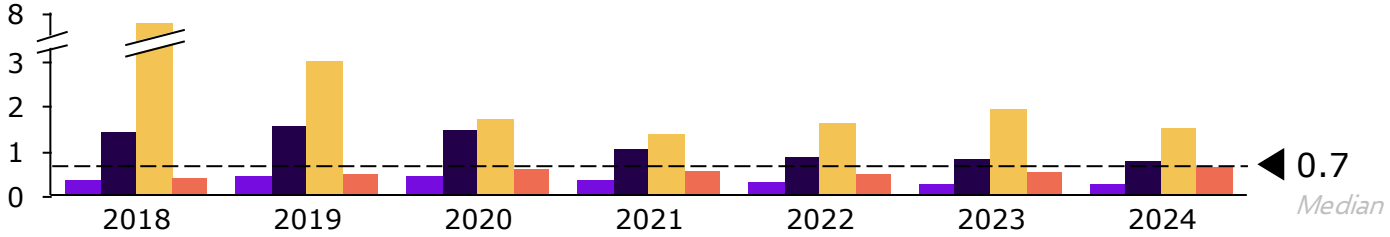
Sanofi AstraZeneca GSK Novartis

Current Ratio, in factors



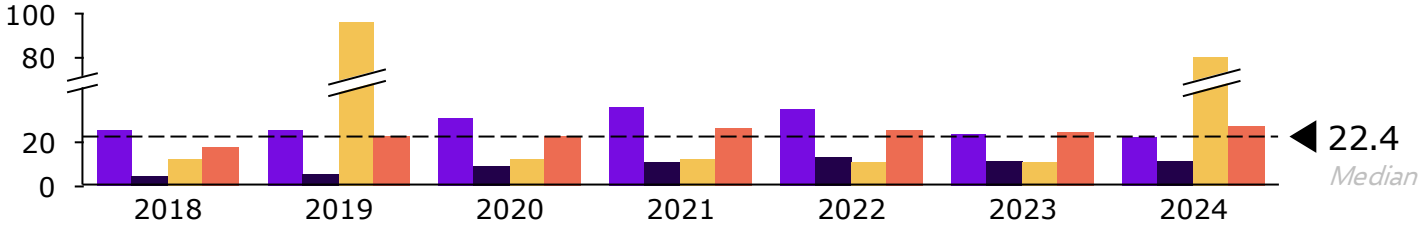
A **higher current ratio** compared to industry peers suggests **Sanofi has better ability to cover its short-term liabilities using its short-term assets**

Debt-to-Equity ratio, in factors



Sanofi has a low **Debt-to-Equity ratio, suggesting company is less reliant on debt,** implying lower risk but **also possible underleverage**. However, it shows that Sanofi should be able to meet its long-term obligations

Interest Coverage Ratio (cash flow based), in factors



Sanofi's **interest coverage close to the industry peers' median suggest the company should be able to pay off its interest** at least as well as its peers

Source: Own calculations

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Chapter 4

Prospective Analysis

Picture Source: Company Website

Forecasts: Top-line development depends on two main drivers – New products and existing product growth

1 First Driver: New products under development

Pipeline (Phase II/III/Registration)	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e
Immunology	0.00	130.24	326.87	545.65	1,025.43	1,704.48	2,924.20	4,017.81	4,967.08	6,208.01
Rare Diseases	190.17	389.52	575.20	749.89	902.53	981.46	1,069.37	1,130.74	1,234.99	1,375.91
Neurology	76.45	317.78	585.79	987.78	1,494.37	2,013.46	2,415.42	2,635.42	2,968.37	3,869.54
Vaccines	0.00	160.00	450.00	615.00	771.60	909.18	963.41	998.23	1,034.39	1,071.95
Pipeline	**266.62**	**997.55**	**1,937.87**	**2,898.32**	**4,193.93**	**5,608.58**	**7,372.40**	**8,782.20**	**10,204.83**	**12,525.42**

Analyst expectations and management expectations are set to align with corporate strategy reflecting pipeline investment strategy

2 Second Driver: Growth in existing products[1]

Existing products per category	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e
Immunology	*17%*	*10%*	*9%*	*6%*	*6%*	*4%*	*2%*	*2%*	*2%*	*0%*
Rare Diseases	*10%*	*7%*	*6%*	*4%*	*2%*	*2%*	*2%*	*2%*	*2%*	*0%*
Neurology	*-22%*	*-21%*	*-20%*	*-13%*	*-2%*	*-1%*	*-1%*	*-1%*	*-1%*	*0%*
Oncology	*7%*	*5%*	*5%*	*4%*	*4%*	*2%*	*1%*	*1%*	*1%*	*0%*
Other Pharma	*0%*	*0%*	*-1%*	*-1%*	*-2%*	*-3%*	*-2%*	*-2%*	*-1%*	*0%*
Vaccines	*6%*	*4%*	*0%*	*2%*	*2%*	*2%*	*1%*	*1%*	*1%*	*0%*
Existing Products	**44,410.91**	**46,718.40**	**48,589.02**	**50,139.63**	**51,500.05**	**52,334.43**	**52,828.69**	**53,395.49**	**54,062.48**	**54,062.48**
Combined Total Revenue	**44,677.54**	**47,715.94**	**50,526.89**	**53,037.95**	**55,693.98**	**57,943.01**	**60,201.09**	**62,177.68**	**64,267.32**	**66,587.90**
Implied Growth Rate	*8.75%*	*6.80%*	*5.89%*	*4.97%*	*5.01%*	*4.04%*	*3.90%*	*3.28%*	*3.36%*	*3.61%*

Knowledge from **Dupixent** success used to further development medicine in this area

Significant cannibalization on existing **Neurology** products developments

Strong increase **growth** due to **Dupixent,** expected to reach **€ 22 bn. sales in 2030**

No focus – remains 2nd largest category in 2034

No growth in final year

Growth in **final years** driven **by new products**

3 Underlying Driver: Increase in global population, increase in elderly people, increased access to medicine

1. Percentage growth based on prior year
Sources: Sanofi, Analyst Reports, Own Estimations

Forecasts: Improved returns driven by improved margins through increased efficiency

Detailed forecasts as %-revenue as main growth driver

Absolut numbers in Appendix

Forecasts for remaining items	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e
1 **NOPAT Margin**	20.0%	21.0%	22.0%	22.0%	22.5%	22.5%	22.5%	22.5%	22.5%	22.5%
2 **Net non-current operating assets/ Revenue**	170.0%	164.0%	160.0%	158.0%	155.0%	154.0%	153.0%	152.5%	152.0%	151.0%
3 **Net Working Capital/ Revenue**	1.6%	3.6%	4.2%	3.4%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%
4 **Investments Assets/ Revenue**	12.0%	12.0%	13.0%	14.0%	15.0%	16.0%	16.5%	17.1%	17.1%	17.1%
5 **(After tax) return on investment**	2.0%	2.0%	2.0%	2.5%	2.5%	2.5%	3.0%	3.0%	3.0%	3.0%
6 **After tax cost of net debt**	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
7 **Debt to capital**	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%

1. Estimated to improve due to **economy of scale** effects for major products (like Dupixent), **slow increase** over time **due to higher R&D and SG&A**, as highlighted in Earnings Guidance
2. Ratio is decreasing, however **absolute investment amount slightly increasing** due to the continuation of expansion and ESG related investment projects – **lower starting point in 2025** due to **cancellation of Opella** investment
3. Net working capital is expected to **slightly increase** again due to **improved turnover of established products**, while other measures remain relatively constant
4. Initial **decrease** because of **some disinvestments**, highlighted in Earnings Guidance **future will see increase from historical levels**, under the assumption that continued equity investments will be undertaken in line with long-term strategy
5. Initially assumed to **remain at historical levels**, with **slight increase** due to **convergence to long-term European average return**
6. Assumed to **reduce to historical levels**, which is more **inline with good credit rating** from Sanofi (AA-rated)
7. To **remain at historical average**, as Sanofi usually finance itself from FCF of year

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Notes: For detailed balance sheet and income statement forecasts see valuation model or Appendix
Sources: Sanofi, Analyst Reports, Own Estimations

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Chapter 5

Valuation & Recommendation

Picture Source: Company Website

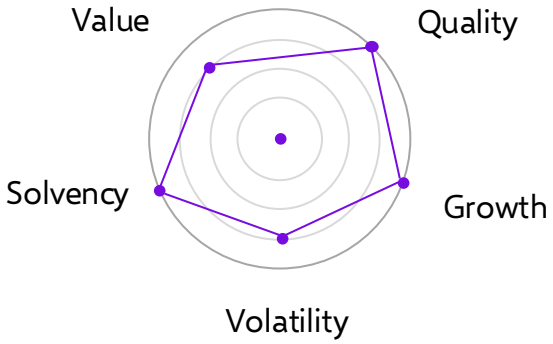
Valuation results show undervalued equity value, with price upside potential – we recommend to buy

Equity Value in € bn.	87	95	103	111	119	127	135	143	151	158	166
Implied Shareprice €/share	*70*	*76*	*82*	*89*	*95*	*101*	*107*	*114*	*120*	*126*	*133*
Below all €/share											
Current Shareprice	-	-	-	-	-	-	**106**	-	-	-	-
FCF Equity	-	-	-	-	-	-	-	**113**	-	-	-
FCF to Debt and Equity	-	-	-	-	-	-	-	-	**123**	-	-
PVANOPAT	-	-	-	-	-	-	-	-	-	-	**133**
PVAE	-	-	-	-	-	-	-	**113**	-	-	-
EV selected competitors median EV/EBITDA	-	-	-	*90*	-	-	-	-	-	-	-
EV selected competitors average EV/EBITDA	-	-	-	-	*94*	-	-	-	-	-	-
EV selected competitors median EV/EBIT	-	-	-	-	*97*	-	-	-	-	-	-
EV selected competitors average EV/EBIT	-	-	-	-	-	-	*107*	-	-	-	-
EV additional competitors median EV/EBITDA	*70*	-	-	-	-	-	-	-	-	-	-
EV additional competitors average EV/EBITDA	-	-	-	*90*	-	-	-	-	-	-	-
EV additional competitors median EV/EBIT	-	-	-	*92*	-	-	-	-	-	-	-
EV additional competitors average EV/EBIT	-	-	-	*89*	-	-	-	-	-	-	-
EV all competitors median EV/EBITDA	-	-	*80*	-	-	-	-	-	-	-	-
EV all competitors average EV/EBITDA	-	-	*84*	-	-	-	-	-	-	-	-
EV all competitors median EV/EBIT	-	-	-	-	*94*	-	-	-	-	-	-
EV all competitors average EV/EBIT	-	-	-	-	*97*	-	-	-	-	-	-
Analyst Consensus (Min)	-	-	-	-	-	-	-	**117**	-	-	-
Analyst Consensus (Max)	-	-	-	-	-	-	-	-	**120**	-	-

Current Price

Target Price Range

Recommendation



- Currently trading **undervalued** by 11.32%
- History of **high-quality production** and **high awareness** of **ESG** matters
- **Promising R&D pipeline** and an extremely **strong Dupixent brand**
- One of the **lowest leveraged companies** in the **industry**
- **Some volatile stages** in past, but significantly lower beta compared to industry

118 €/share	**113-123 €/share**	**11.32 %**	**Buy**
Target Price	*Target Price Range*	*Upside Potential*	*Our Recommendation*

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Notes: Market Data as of 16/03/2025; Healthcare/ Pharma companies trading at discount due to post-pandemic rebalancing; Valuation details in Appendix, incl. sensitivities and discount rates used | Sources: Own Calculations, Bloomberg

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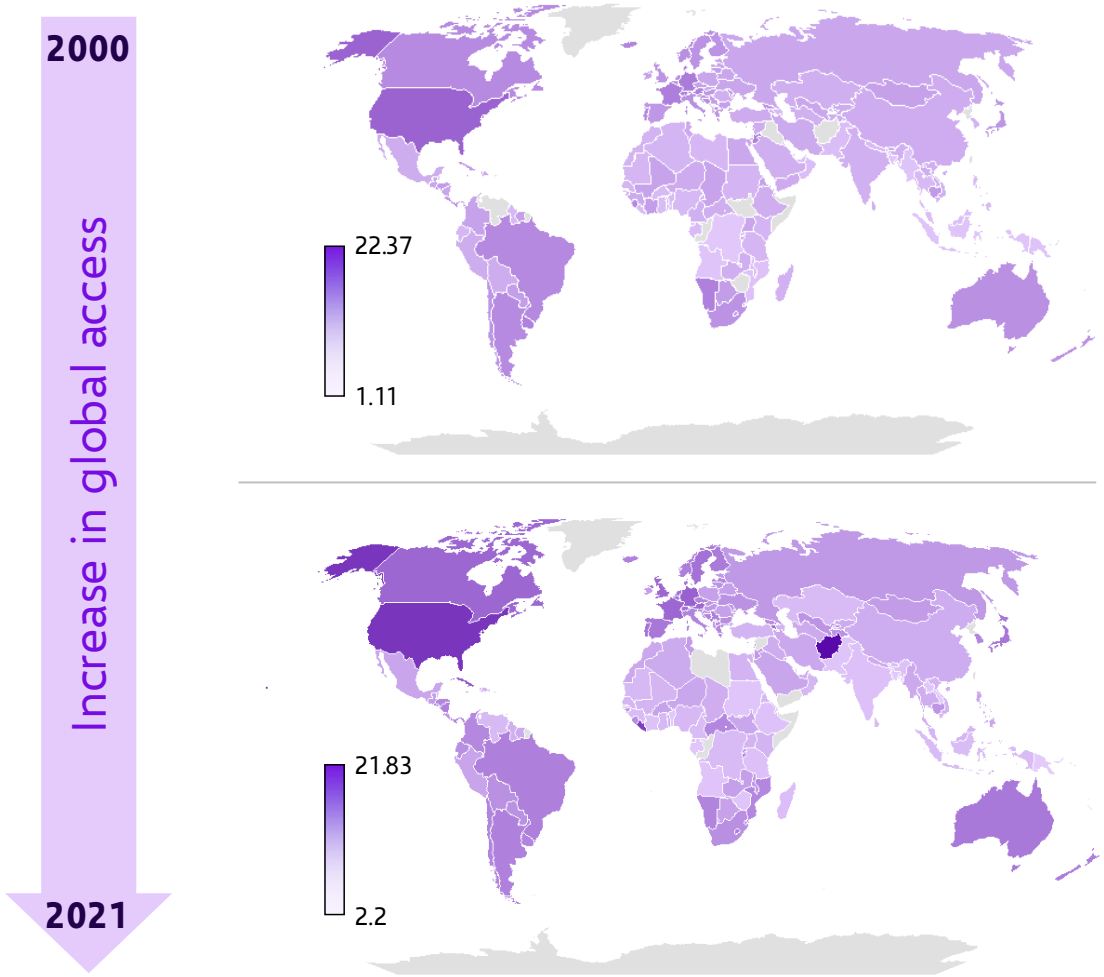
Chapter 6

Appendix

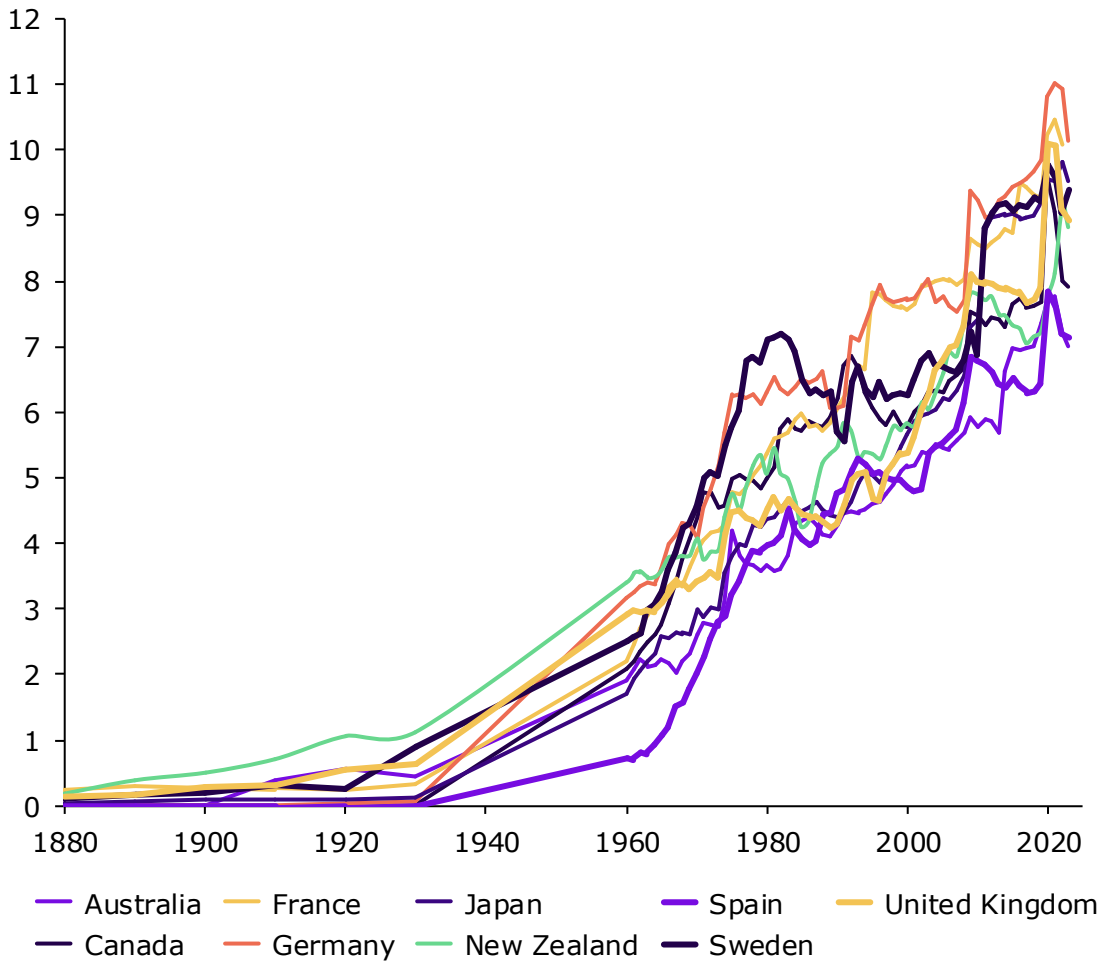
Picture Source: Assets BWBX

Trends in Global Healthcare Spending

Current health expenditure (CHE) as % of GDP (%)



Government health spending share of GDP (%), 1880 to 2023



Sources: MOECD Health Expenditure and Financing Database (2024); OECD (1993); Lindert (1994) – with major processing by Our World in Data, World Health Organization - Global Health Observatory (2024) – processed by Our World in Data

Restated: Income Statement Sanofi

Detailed calculation in Valuation Model

INCOME STATEMENT (in € mn.)	2017	2018	2019	2020	2021	2022	2023	2024
Revenue	**36,221.00**	**35,677.00**	**37,631.00**	**37,369.00**	**39,175.00**	**40,561.00**	**41,618.00**	**44,286.00**
Operating expenses	-29,019.00	-29,422.00	-30,453.00	-29,479.00	-30,028.00	-29,635.00	-32,443.00	-34,824.00
Operating profit	**7,202.00**	**6,255.00**	**7,178.00**	**7,890.00**	**9,147.00**	**10,926.00**	**9,175.00**	**9,462.00**
Investment Income	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net non-recurring income or expense	-1,398.00	-1,579.00	-4,127.00	6,223.00	-1,021.00	-764.00	-2,215.00	-2,210.00
Interest Income	147.00	164.00	141.00	53.00	40.00	205.00	584.00	519.00
Interest Expense	-420.00	-435.00	-440.00	-388.00	-368.00	-430.00	-1,293.00	-1,073.00
Profit before taxes	**5,531.00**	**4,405.00**	**2,752.00**	**13,778.00**	**7,798.00**	**9,937.00**	**6,251.00**	**6,698.00**
Tax Expense	-1,722.00	-481.00	-121.00	-1,807.00	-1,558.00	-1,909.00	-1,017.00	-1,204.00
Profit after taxes	**3,809.00**	**3,924.00**	**2,631.00**	**11,971.00**	**6,240.00**	**8,028.00**	**5,234.00**	**5,494.00**
Profit/Loss of Discontinued Operations / Equity Investments	4,728.00	486.00	154.00	359.00	39.00	456.00	202.00	124.00
Profit/Loss to Non-Controlling Interest	-121.00	-104.00	-31.00	-36.00	-56.00	-113.00	-36.00	-58.00
Profit/Loss to Ordinary Shareholders	**8,416.00**	**4,306.00**	**2,754.00**	**12,294.00**	**6,223.00**	**8,371.00**	**5,400.00**	**5,560.00**

Sources: Own calculations based on Annual Reports Sanofi, Capital-IQ

Restated: Balance Sheet Sanofi

Detailed calculation in Valuation Model

CONDENSED BALANCE SHEET (in € mn.)	2017	2018	2019	2020	2021	2022	2023	2024
Assets								
Operating cash	724.42	713.54	752.62	747.38	783.50	811.22	832.36	885.72
Trade receivables	7,216.00	7,260.00	7,937.00	7,491.00	7,568.00	8,424.00	8,433.00	7,677.00
Inventories	6,818.00	7,477.00	7,994.00	8,352.00	8,715.00	8,960.00	9,666.00	9,431.00
Other current assets	2,005.00	2,917.00	3,253.00	3,945.00	4,183.00	3,906.00	3,846.00	4,550.00
Trade payables	4,633.00	5,041.00	5,313.00	5,295.00	6,180.00	6,813.00	7,328.00	7,551.00
Other current liabilities	9,555.00	9,702.00	10,253.00	10,954.00	11,663.00	12,700.00	14,546.00	15,010.00
Operating working capital	**2,575.42**	**3,624.54**	**4,370.62**	**4,286.38**	**3,406.50**	**2,588.22**	**903.36**	**-17.28**
Non-current tangible assets	9,579.00	9,651.00	11,017.00	10,563.00	11,976.00	11,684.00	11,814.00	11,601.00
Non-current intangible assets	56,708.00	68,939.00	63,531.00	65,439.00	72,590.00	74,627.00	76,941.00	69,766.00
Derivatives (asset net of liability)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Deferred tax liability (net of asset)	-2,686.00	52.00	-1,581.00	-921.00	-1,117.00	-1,803.00	-2,916.00	-4,849.00
Other non-current liabilities (non-interest-bearing)	10,180.00	8,169.00	7,921.00	7,702.00	7,298.00	7,015.00	8,103.00	8,665.00
Net non-current operating assets	**58,793.00**	**70,369.00**	**68,208.00**	**69,221.00**	**78,385.00**	**81,099.00**	**83,568.00**	**77,551.00**
Excess cash	9,590.58	6,211.46	8,674.38	13,167.62	9,314.50	11,924.78	7,877.64	6,555.28
Minority equity investments	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Other Non-Operating investments	2,847.00	3,402.00	3,591.00	201.00	250.00	677.00	424.00	316.00
Non-operating investments	**12,437.58**	**9,613.46**	**12,265.38**	**13,368.62**	**9,564.50**	**12,601.78**	**8,301.64**	**6,871.28**
Business Assets	**73,806.00**	**83,607.00**	**84,844.00**	**86,876.00**	**91,356.00**	**96,289.00**	**92,773.00**	**84,405.00**
Liabilities and Shareholders Equity								
Current debt	1,275.00	2,633.00	4,815.00	2,999.00	3,452.00	4,451.00	2,320.00	4,470.00
Non-current debt	14,326.00	22,007.00	21,118.00	20,676.00	18,962.00	16,761.00	16,102.00	13,436.00
Debt	**15,601.00**	**24,640.00**	**25,933.00**	**23,675.00**	**22,414.00**	**21,212.00**	**18,422.00**	**17,906.00**
Ordinary shareholders' equity	58,070.00	58,876.00	59,056.00	63,106.00	68,681.00	74,784.00	74,040.00	77,507.00
Minority interests	169.00	159.00	174.00	146.00	350.00	368.00	313.00	350.00
Net assets held for sale	34.00	68.00	319.00	51.00	89.00	75.00	2.00	11,358.00
Group Equity	**58,205.00**	**58,967.00**	**58,911.00**	**63,201.00**	**68,942.00**	**75,077.00**	**74,351.00**	**66,499.00**
Total invested capital	**73,806.00**	**83,607.00**	**84,844.00**	**86,876.00**	**91,356.00**	**96,289.00**	**92,773.00**	**84.405**

Sources: Own calculations based on Annual Reports Sanofi, Capital-IQ

Cash Flow Statement Sanofi

Detailed calculation in Valuation Model

CASH FLOW STATEMENT (in € mn.)	2017	2018	2019	2020	2021	2022	2023	2024
Profit Before Interest and Tax	**10,405.00**	**6,677.00**	**4,828.00**	**14,660.00**	**7,837.00**	**11,203.00**	**8,582.00**	**9,438.00**
Taxes Paid	-1,813.39	-2,092.18	-1,711.66	-2,092.31	-1,346.73	-2,525.14	-2,714.05	-3,396.52
Non-Operating Losses (Gains)	-4,341.00	-955.00	1,629.00	-7,885.00	-286.00	-314.00	1,042.00	862.00
Non-Current Operating Accruals	3,157.00	3,476.00	3,751.00	3,334.00	3,176.00	3,263.00	3,403.00	3,274.00
Operating Cash Flow before Working Capital Investments	**7,407.61**	**7,105.82**	**8,496.34**	**8,016.69**	**9,380.27**	**11,626.86**	**10,312.95**	**10,177.48**
Net (Investments in) or Liquidation of Operating Working Capital	147.00	-1,280.00	-419.00	-325.00	1,409.00	-794.00	413.00	-615.00
Operating Cash Flow before Investment in Non-Current Assets	**7,554.61**	**5,825.82**	**8,077.34**	**7,691.69**	**10,789.27**	**10,832.86**	**10,725.95**	**9,562.48**
Net (Investments in) or Liquidation of Operating or Investment Non-Current Assets	-2,896.00	-12,866.00	-1,183.00	3,619.00	-7,298.00	-2,075.00	-6,200.00	-4,407.00
Free Cash Flow Available to Debt and Equity	**4,658.61**	**-7,040.18**	**6,894.34**	**11,310.69**	**3,491.27**	**8,757.86**	**4,525.95**	**5,155.48**
Interest Paid	-175.61	-278.82	-362.34	-273.69	-267.27	-306.86	-467.95	-481.48
Net Debt (Repayment) or Issuance	1,112.00	8,626.00	-349.00	-1,993.00	-2,837.00	-1,336.00	-3,232.00	-1,124.00
Free Cash Flow Available to Equity	**5,595.00**	**1,307.00**	**6,183.00**	**9,044.00**	**387.00**	**7,115.00**	**826.00**	**3,550.00**
Dividend (Payments)	-3,710.00	-3,773.00	-3,834.00	-3,937.00	-4,008.00	-4,168.00	-4,454.00	-4,704.00
Net share (Repurchase) or Issuance	-1,843.00	-924.00	153.00	-619.00	-196.00	-309.00	-398.00	-115.00
Net Increase (Decrease) in Cash Balance	**42.00**	**-3,390.00**	**2,502.00**	**4,488.00**	**-3,817.00**	**2,638.00**	**-4,026.00**	**-1,269.00**

Sources: Sanofi, Capital-IQ, adapted presentation

Forecasts: Pipeline Estimation

Detailed derivation in Valuation Model

Pipeline (Phase II/III/Registration)	Category (in € mn.)	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e
Amlitelimab	Immunology	0.00	0.00	75.00	153.15	318.80	590.40	1,114.00	1,518.23	1,678.00	2,355.81
SAR441566	Immunology	0.00	0.00	0.00	0.00	50.00	93.75	175.00	350.00	700.00	1,050.00
Itepekimab	Immunology	0.00	130.24	251.87	392.50	540.80	716.59	993.31	1,027.59	1,130.58	1,231.20
Lunsekimig	Immunology	0.00	0.00	0.00	0.00	59.58	134.99	304.39	672.00	896.00	896.00
SAR444656	Immunology	0.00	0.00	0.00	0.00	56.25	168.75	337.50	450.00	562.50	675.00
Rilzabrutinib	Rare Diseases	43.80	119.52	187.60	255.96	309.70	337.55	349.55	338.78	363.88	358.53
Venglustat	Rare Diseases	89.67	116.34	138.62	162.42	185.07	207.62	267.91	293.48	321.12	418.04
Fitusiran	Rare Diseases	56.70	153.66	248.99	331.51	407.76	436.29	451.92	498.48	549.99	599.34
Frexalimab	Neurology	0.00	0.00	0.00	81.37	249.69	470.91	849.43	905.53	1,095.46	1,686.70
Riliprubart	Neurology	0.00	0.00	50.00	100.00	200.00	300.00	400.00	500.00	600.00	700.00
Tolebrutinib	Neurology	76.45	317.78	535.79	806.41	1,044.68	1,242.55	1,165.99	1,229.88	1,272.92	1,482.84
RSV Toddler Vacc.	Vaccines	0.00	160.00	450.00	615.00	771.60	909.18	963.41	998.23	1,034.39	1,071.95
Total from Pipeline		**266.62**	**997.55**	**1,937.87**	**2,898.32**	**4,193.93**	**5,608.58**	**7,372.40**	**8,782.20**	**10,204.83**	**12,525.42**

Sources: Sanofi, Analyst Reports, Own Estimations

Forecasts: Pipeline Estimation

See Calculation and Derivation in Model

Forecast existing products (in € mn.)	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e
Immunology	15,790.32	17,369.35	18,932.59	20,068.55	21,272.66	22,123.57	22,566.04	23,017.36	23,477.71	23,477.71
Rare Diseases	6,464.92	6,917.47	7,313.03	7,584.77	7,766.04	7,912.47	8,070.72	8,204.09	8,368.17	8,368.17
Neurology	295.62	233.25	185.87	161.26	158.10	156.04	154.01	152.01	150.03	150.03
Oncology	1,005.94	1,056.24	1,108.19	1,151.17	1,191.55	1,215.41	1,224.33	1,236.57	1,248.94	1,248.94
Other Pharma	12,063.00	12,028.12	11,944.83	11,851.09	11,595.36	11,228.77	10,989.83	10,822.82	10,714.59	10,714.59
Vaccines	8,791.11	9,113.96	9,104.51	9,322.80	9,516.33	9,698.17	9,823.75	9,962.63	10,103.04	10,103.04
Total from existing products	**44,410.91**	**46,718.40**	**48,589.02**	**50,139.63**	**51,500.05**	**52,334.43**	**52,828.69**	**53,395.49**	**54,062.48**	**54,062.48**

Sources: Sanofi, Analyst Reports, Own Estimations

Forecasted: Income Statement Sanofi

Detailed calculation in Valuation Model

CONDENSED INCOME STATEMENT (in € mn.)	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e
Revenue	**44,677.54**	**47,715.94**	**50,526.89**	**53,037.95**	**55,693.98**	**57,943.01**	**60,201.09**	**62,177.68**	**64,267.32**	**66,587.90**
Net Operating Profit after Tax (NOPAT)	8,935.51	10,020.35	11,115.92	11,668.35	12,531.15	13,037.18	13,545.24	13,989.98	14,460.15	14,982.28
Net investment profit after tax	107.23	114.52	131.37	185.63	208.85	231.77	298.00	319.54	330.28	342.21
Net business profit after tax	**9,042.73**	**10,134.87**	**11,247.28**	**11,853.98**	**12,740.00**	**13,268.95**	**13,843.24**	**14,309.52**	**14,790.43**	**15,324.48**
Net interest expense after tax	410.23	428.58	447.72	465.11	481.68	501.13	519.15	536.60	553.03	569.67
Profit or loss	**8,632.51**	**9,706.28**	**10,799.56**	**11,388.87**	**12,258.32**	**12,767.82**	**13,324.09**	**13,772.92**	**14,237.40**	**14,754.82**

Sources: Own calculations based on Annual Reports Sanofi, Capital-IQ

Forecasted: Balance Sheet Sanofi

Detailed calculation in Valuation Model

CONDENSED BALANCE SHEET (in € mn.)	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e
Assets										
Net Working Capital	732.22	1,736.33	2,133.36	1,797.40	1,655.35	1,722.20	1,789.31	1,848.06	1,910.17	1,979.14
Net non-current operating assets	75,951.81	78,254.15	80,843.02	83,799.96	86,325.67	89,232.24	92,107.66	94,820.97	97,686.32	100,547.73
Net operating assets	**76,684.03**	**79,990.48**	**82,976.38**	**85,597.36**	**87,981.02**	**90,954.43**	**93,896.97**	**96,669.03**	**99,596.49**	**102,526.87**
Investment Assets	5,361.30	5,725.91	6,568.50	7,425.31	8,354.10	9,270.88	9,933.18	10,651.41	11,009.38	11,406.91
Business Assets	**82,045.33**	**85,716.39**	**89,544.87**	**93,022.67**	**96,335.11**	**100,225.32**	**103,830.15**	**107,320.44**	**110,605.87**	**113,933.78**
Liabilities and Shareholders Equity										
Debt	16,409.07	17,143.28	17,908.97	18,604.53	19,267.02	20,045.06	20,766.03	21,464.09	22,121.17	22,786.76
Group Equity	65,636.27	68,573.11	71,635.90	74,418.14	77,068.09	80,180.25	83,064.12	85,856.35	88,484.70	91,147.02
Invested Capital	**82,045.33**	**85,716.39**	**89,544.87**	**93,022.67**	**96,335.11**	**100,225.32**	**103,830.15**	**107,320.44**	**110,605.87**	**113,933.78**

Sources: Own calculations based on Annual Reports Sanofi, Capital-IQ

Forecasted: Cash Flow Statement Sanofi

Detailed calculation in Valuation Model

FREE CASH FLOW (in € mn.)	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e
Net Operating Profit after Tax (NOPAT)	8,935.51	10,020.35	11,115.92	11,668.35	12,531.15	13,037.18	13,545.24	13,989.98	14,460.15	14,982.28
Δ Net Working Capital	749.50	1,004.11	397.03	-335.96	-142.05	66.85	67.11	58.75	62.11	68.97
CAPEX or Net Capex or Change in NFA	-1,599.19	2,302.33	2,588.87	2,956.94	2,525.71	2,906.57	2,875.42	2,713.31	2,865.35	2,861.41
Operating Cash Flow after Investment in Non-Current Assets	**9,785.20**	**6,713.90**	**8,130.02**	**9,047.37**	**10,147.49**	**10,063.76**	**10,602.71**	**11,217.92**	**11,532.68**	**12,051.90**
Net investment profit after tax	107.23	114.52	131.37	185.63	208.85	231.77	298.00	319.54	330.28	342.21
Δ in investement assets	-1,509.98	364.61	842.58	856.82	928.78	916.79	662.30	718.23	357.97	397.53
Free cash flow (to debt and equity)	**11,402.40**	**6,463.81**	**7,418.80**	**8,376.18**	**9,427.56**	**9,378.75**	**10,238.41**	**10,819.23**	**11,505.00**	**11,996.58**
Interest expense after tax	410.23	428.58	447.72	465.11	481.68	501.13	519.15	536.60	553.03	569.67
Δ in Debt	-1,496.93	734.21	765.70	695.56	662.49	778.04	720.97	698.06	657.09	665.58
Free cash flow to equity	**9,495.24**	**6,769.44**	**7,736.77**	**8,606.63**	**9,608.37**	**9,655.66**	**10,440.22**	**10,980.69**	**11,609.05**	**12,092.49**

Sources: Sanofi, Capital-IQ, adapted presentation

Discount Rates

Detailed calculation in Valuation Model

Forecast Assumptions		Reference
Cost of equity (based on CAPM)	**9.06%**	
Risk-free Rate	3.57%	France 10-year government bond; MarketWatch
Market Risk Premium	5.13%	France Equity Risk Premium France; Damodaran
Beta	1.07	Industry Beta (Drugs (Pharmaceuticals)); Damodaran
(Self-calculated Beta	0.44	5 year monthly against MSCI World; dropped due to poor explanation from dataset)
Cost of debt	**4.17%**	
Risk-free Rate	3.57%	France 10-year government bond; MarketWatch
Credit Spread	0.60%	Credit Spread for AA-rated non-financial services firm; Damodaran
D/V	20%	Assumed to remain constant at that level
Tax rate	25%	France Corporate Tax Rate
WACC	**7.87%**	

Notes: Financial data as of 14/03/2025
Sources: Damodaran, MarketWatch

FCFE - Valuation

Detailed calculation in Valuation Model

in € mn.	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	TV
FCFE	9,495.24	6,769.44	7,736.77	8,606.63	9,608.37	9,655.66	10,440.22	10,980.69	11,609.05	12,092.49	12,845.01
Discount Factor	*0.92*	*0.84*	*0.77*	*0.71*	*0.65*	*0.59*	*0.54*	*0.50*	*0.46*	*0.42*	*0.42*
PV FCFE	**8,706.35**	**5,691.32**	**5,964.17**	**6,083.50**	**6,227.31**	**5,738.03**	**5,688.80**	**5,486.19**	**5,318.24**	**5,079.45**	**82,235.45**

Implied Equity Value and Share Price

~ €143 bn	~ 1.25 bn	~ €113
Equity Value	*# of shares[1)]*	*Implied share price*

Comment:
Determining the equity value of the company, by discounting the FCF to Equity Holders by the cost of equity capital. The sum of PV Cash Flows presents the intrinsic value.

Cost of Equity Capital / Terminal Value Growth Rate – Implied Share Price

Cost of Equity Capital \ Terminal Value Growth Rate	1.75%	2.00%	2.25%	2.50%	2.75%	3.00%	3.25%
7.50%	*142.00*	*145.00*	*148.00*	*151.00*	*155.00*	*159.00*	*163.00*
8.00%	*130.00*	*132.00*	*134.00*	*137.00*	*139.00*	*142.00*	*146.00*
8.50%	*119.00*	*121.00*	123.00	125.00	127.00	*129.00*	*132.00*
9.06%	*109.00*	*111.00*	112.00	**113.00**	115.00	*117.00*	*119.00*
9.50%	*103.00*	*104.00*	105.00	106.00	107.00	*109.00*	*110.00*
10.0%	*96.00*	*97.00*	*98.00*	*98.00*	*99.00*	*101.00*	*102.00*
10.5%	*90.00*	*90.00*	*91.00*	*92.00*	*93.00*	*94.00*	*94.00*

1. Number of shares reflects outstanding shares before announced share buy back
Source: Own calculations

FCF - Valuation

Detailed calculation in Valuation Model

in € mn.	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	TV
FCF	11,402.40	6,463.81	7,418.80	8,376.18	9,427.56	9,378.75	10,238.41	10,819.23	11,505.00	11,996.58	12,859.25
Discount Factor	*0.93*	*0.86*	*0.80*	*0.74*	*0.68*	*0.63*	*0.59*	*0.55*	*0.51*	*0.47*	*0.47*
PV FCF	**10,570.04**	**5,554.56**	**5,909.83**	**6,185.40**	**6,453.59**	**5,951.52**	**6,022.76**	**5,899.84**	**5,815.82**	**5,621.63**	**100,499.61**

Implied Equity Value and Share Price

~ €154 bn	~ 1.25 bn	~ €123
Equity Value	*# of shares[1)]*	*Implied share price*

Comment:
Determining the equity value of the company, by discounting the FCF to Debt and Equity Holders by the WACC. Debt is subtracted and Cash added to arrive at the Equity Value.

WACC / Terminal Value Growth Rate – Implied Share Price

WACC \ Terminal Value Growth Rate	1.75%	2.00%	2.25%	2.50%	2.75%	3.00%	3.25%
6.00%	*155.00*	*159.00*	*165.00*	*171.00*	*178.00*	*186.00*	*195.00*
6.50%	*142.00*	*146.00*	*150.00*	*154.00*	*159.00*	*165.00*	*171.00*
7.00%	*132.00*	*134.00*	137.00	141.00	144.00	*148.00*	*153.00*
7.87%	*117.00*	*119.00*	121.00	**123.00**	125.00	*128.00*	*131.00*
8.00%	*115.00*	*117.00*	119.00	121.00	123.00	*125.00*	*128.00*
8.50%	*109.00*	*110.00*	*111.00*	*113.00*	*115.00*	*117.00*	*119.00*
9.00%	*103.00*	*104.00*	*105.00*	*106.00*	*108.00*	*109.00*	*111.00*

1. Number of shares reflects outstanding shares before announced share buy back
Source: Own calculations

PVANOPAT - Valuation

Detailed calculation in Valuation Model

in € mn.	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	TV
ANOPAT	2,829.98	3,981.73	4,816.92	5,134.23	5,790.63	6,108.95	6,382.87	6,595.89	6,847.77	7,139.37	7,283.17
Discount Factor	*0.93*	*0.86*	*0.80*	*0.74*	*0.68*	*0.63*	*0.59*	*0.55*	*0.51*	*0.47*	*0.47*
PVANOPAT	**2,623.39**	**3,421.62**	**3,837.17**	**3,791.38**	**3,963.95**	**3,876.59**	**3,754.74**	**3,596.81**	**3,461.57**	**3,345.53**	**63,499.85**

Implied Equity Value and Share Price

~ €166 bn	~ 1.25 bn	~ €133
Equity Value	*# of shares[1)]*	*Implied share price*

Comment:
Determining the equity value of the company, by discounting the ANOPAT by the WACC. Adding the sum to the current Book Value of NOA and subtracting debt and adding cash to get to the equity value.

WACC / Terminal Value Growth Rate – Implied Share Price

WACC \ Terminal Value Growth Rate	1.75%	2.00%	2.25%	2.50%	2.75%	3.00%	3.25%
6.00%	*190.00*	*196.00*	*203.00*	*212.00*	*221.00*	*232.00*	*245.00*
6.50%	*168.00*	*172.00*	*177.00*	*183.00*	*190.00*	*197.00*	*206.00*
7.00%	*150.00*	*153.00*	157.00	161.00	166.00	*171.00*	*177.00*
7.87%	*126.00*	*128.00*	130.00	**133.00**	135.00	*138.00*	*142.00*
8.00%	*123.00*	*125.00*	127.00	129.00	132.00	*135.00*	*138.00*
8.50%	*112.00*	*114.00*	*116.00*	*117.00*	*119.00*	*121.00*	*124.00*
9.00%	*103.00*	*105.00*	*106.00*	*107.00*	*109.00*	*110.00*	*112.00*

1. Number of shares reflects outstanding shares before announced share buy back
Source: Own calculations

PVAE - Valuation

Detailed calculation in Valuation Model

in € mn.	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	TV
AE	2,606.97	3,758.92	4,586.08	4,897.87	5,515.22	5,784.61	6,058.88	6,246.40	6,457.87	6,737.13	6,864.76
Discount Factor	*0.92*	*0.84*	*0.77*	*0.71*	*0.65*	*0.59*	*0.54*	*0.50*	*0.46*	*0.42*	*0.42*
PVAE	**2,390.37**	**3,160.26**	**3,535.35**	**3,462.00**	**3,574.49**	**3,437.59**	**3,301.44**	**3,120.83**	**2,958.42**	**2,829.93**	**43,949.12**

Implied Equity Value and Share Price

~ €143 bn	~ 1.25 bn	~ €113
Equity Value	*# of shares[1)]*	*Implied share price*

Comment:
Determining the equity value of the company, by discounting the Abnormal Earnings by the Cost of Equity Capital. Adding the sum to the current Book Value of Equity, to get to the intrinsic Equity Value. As expected, this result matches with the FCFE-Valuation.

Cost of Equity Capital / Terminal Value Growth Rate – Implied Share Price

Cost of Equity Capital \ Terminal Value Growth Rate	1.75%	2.00%	2.25%	2.50%	2.75%	3.00%	3.25%
7.50%	*142.00*	*145.00*	*148.00*	*151.00*	*155.00*	*159.00*	*163.00*
8.00%	*130.00*	*132.00*	*134.00*	*137.00*	*139.00*	*142.00*	*146.00*
8.50%	*119.00*	*121.00*	123.00	125.00	127.00	*129.00*	*132.00*
9.06%	*109.00*	*111.00*	112.00	**113.00**	115.00	*117.00*	*119.00*
9.50%	*103.00*	*104.00*	105.00	106.00	107.00	*109.00*	*110.00*
10.0%	*96.00*	*97.00*	*98.00*	*98.00*	*99.00*	*101.00*	*102.00*
10.5%	*90.00*	*90.00*	*91.00*	*92.00*	*93.00*	*94.00*	*94.00*

1. Number of shares reflects outstanding shares before announced share buy back
Source: Own calculations

Multiples - Valuation

Detailed calculation in Valuation Model

Companies (in € mn.)	Group	Market Cap	Debt	Cash	EV	EBIT	EBITDA	EV/EBITDA	EV/EBIT
Astra Zenenca	Selected	220,814.86	29,421.31	5,300.86	244,543.42	11,953.96	16,242.19	**15.06**	**20.46**
GSK	Selected	73,137.72	20,540.05	4,679.74	87,474.43	7,305.49	9,820.59	**8.91**	**11.97**
Novartis	Selected	197,711.89	30,330.23	11,068.25	214,780.84	15,089.23	19,103.78	**11.24**	**14.23**
Bristol-Myers Squibb Company	Additional	110,073.93	49,509.14	9,993.20	146,962.34	9,090.52	17,943.42	**8.19**	**16.17**
Bayer Aktiengesellschaft	Additional	22,875.74	40,811.00	6,191.00	55,736.74	5,448.00	9,139.00	**6.10**	**10.23**
Merck KGaA	Additional	58,455.89	10,301.00	2,517.00	65,756.89	4,086.00	5,782.00	**11.37**	**16.09**
Roche Holding AG	Additional	254,702.55	38,776.49	7,434.67	279,055.52	20,601.29	23,856.84	**11.70**	**13.55**
Pfizer Inc.	Additional	133,986.26	65,119.05	1,007.43	177,404.68	15,096.63	21,563.17	**8.23**	**11.75**
Merck & Co., Inc.	Additional	219,585.16	36,964.99	12,790.45	242,234.25	23,012.00	26,936.86	**8.99**	**10.53**
Novo Nordisk A/S	Additional	315,402.18	13,782.54	2,099.15	325,651.07	18,753.74	19,664.08	**16.56**	**17.36**

Methodology

The respective median for the selected sample group for the selected ratio is taken and multiplied by the financials from Sanofi for EBIT and EBITDA.

This allowed us to determine the different implied Enterprise Values. By subtracting debt and adding cash one can obtain the implied equity value. This process is repeated for all different sample constellations, as shown in football field.

Multiples Considered

Selected	Additional	All competitors[1]
11.24 *EV/EBITDA*	**8.99** *EV/EBITDA*	**10.12** *EV/EBITDA*
14.23 *EV/EBIT*	**13.55** *EV/EBIT*	**13.89** *EV/EBIT*

1. Combines Selected and Additional Competitors | Notes: Financial Information as of 16/03/2025
Sources: Own calculations, Bloomberg

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